

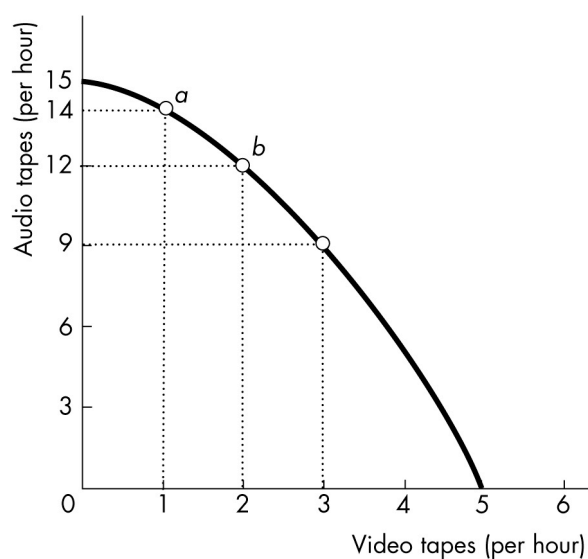
Principle of Macroeconomics ECON 2220
Spring 2022, UNO
Sample test 1

Name: _____

ID: _____

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

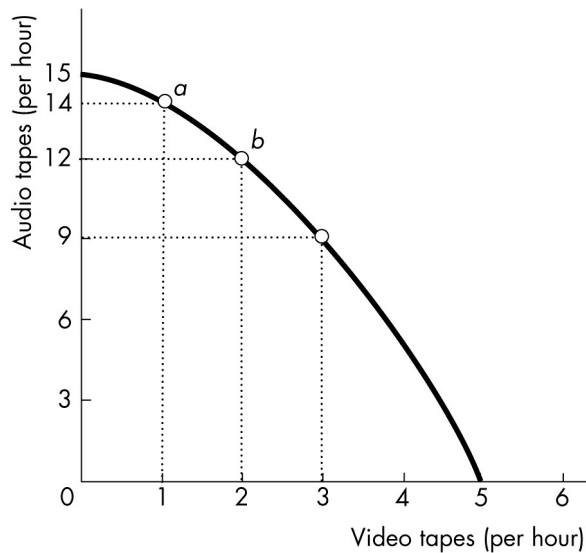
- 1) Moving along a bowed-out *PPF* between milk and cotton, as more milk is produced the marginal cost of an additional gallon of milk 1) _____
- A) probably changes, but in an ambiguous direction.
B) does not change.
C) rises.
D) falls.



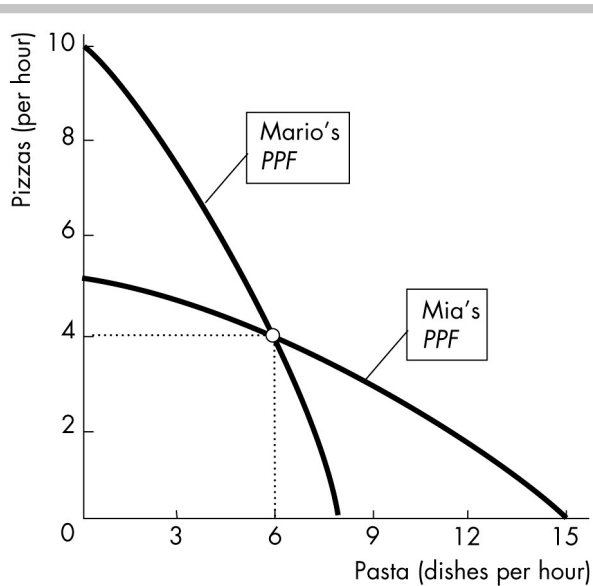
- 2) In the above figure, at point *a* what is the opportunity cost of producing one more audio tape? 2) _____
- A) 14 video tapes per audio tape
B) 2 video tapes per audio tape
C) 1 video tape per audio tape
D) There is no opportunity cost.

Point	Production chocolate bars	Production cans of cola
A	0	100
B	10	90
C	20	70
D	30	40
E	40	0

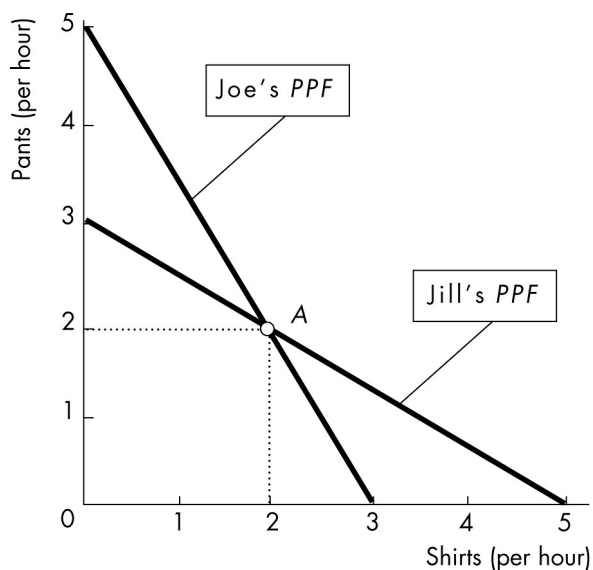
- 3) The above table shows production points on Sweet-Tooth Land's production possibilities frontier. Which of the following statements is TRUE? 3) _____
- A) Producing 20 chocolate bars and 80 cans of cola is attainable, but inefficient.
 - B) Producing 40 chocolate bars and 0 cans of cola is unattainable and inefficient.
 - C) Producing 30 chocolate bars and 38 cans of cola is only attainable with an increase in technology.
 - D) Producing 0 chocolate bars and 100 cans of cola is both attainable and efficient.
- 4) A country that *must* decrease production of one good in order to increase the production of another 4) _____
- A) must be using resources inefficiently.
 - B) must have private ownership of property.
 - C) must be producing on its production possibilities frontier.
 - D) must be producing beyond its production possibilities frontier.
- 5) Sam's production possibilities frontier has good *A* on the horizontal axis and good *B* on the vertical axis. If Sam is producing at a point *inside* his frontier, then he 5) _____
- A) values good *A* more than good *B*.
 - B) is fully using all his resources.
 - C) can increase production of both goods with no increase in resources.
 - D) values good *B* more than good *A*.
- 6) As we increase the production of computers, we find that we must give up larger and larger amounts of DVD players per computer. 6) _____
- A) This situation illustrates increasing opportunity cost.
 - B) The production possibilities frontier for computers and DVD players is a straight line.
 - C) As a result, we should specialize in the production of DVD players.
 - D) DVD players will be more highly regarded by consumers than computers.



- 7) In the above figure, at point *b* what is the opportunity cost of producing 2 more audio tapes? 7) _____
- A) 1/2 video tape per audio tape B) 6 video tapes per audio tape
C) 1 video tape per audio tape D) There is no opportunity cost.
- 8) A tradeoff is 8) _____
- A) represented by a point outside a *PPF*.
B) a constraint that requires giving up one thing to get another.
C) represented by a point inside a *PPF*.
D) a transaction at a price either above or below the equilibrium price.
- 9) George and Michael can gain from exchange 9) _____
- A) unless one has an absolute advantage in all goods.
B) if each specializes in the production of the good for which he has the lower opportunity cost.
C) unless they have different opportunity costs.
D) if each specializes in the production of the good for which he has the higher opportunity cost.
- 10) Betty and Ann live on a desert island. With a day's labor, Ann can produce 8 fish or 4 coconuts; Betty can produce 6 fish or 2 coconuts. Ann's opportunity cost of producing 1 coconut is _____ and she should specialize in the production of _____. 10) _____
- A) 0 fish per coconut; coconuts B) 2 fish per coconut; coconuts
C) 6 fish per coconut; coconuts D) 8 fish per coconut; fish

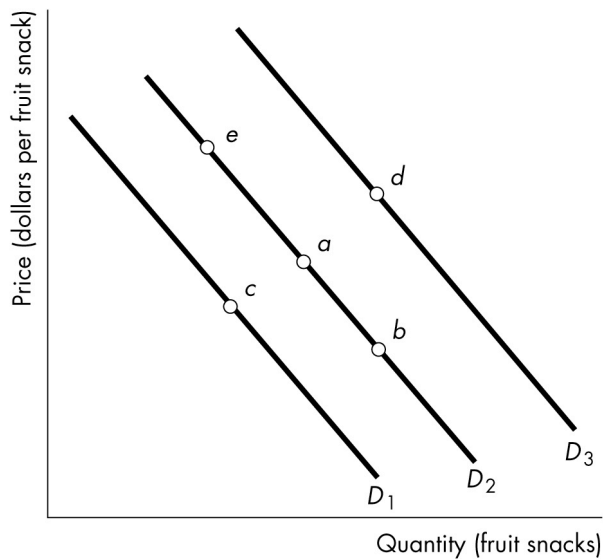


- 11) Refer to the above figure. Mario is self-sufficient and so is Mia. Each produces 6 dishes of pasta and 4 pizzas. Mario and Mia decide to specialize and trade. After they have specialized and traded, compared to the initial situation, Mia's opportunity cost of pasta has _____ and Mario's opportunity cost of a pizza has _____. 11) _____
- A) decreased, increased
B) increased, increased
C) increased, decreased
D) decreased, decreased



- 12) In the figure above, both Joe and Jill initially produce at point A. If Joe and Jill realize that they each possess a comparative advantage, which outcome can we expect? 12) _____
- A) Joe will specialize in shirts and Jill will specialize in pants.
B) Joe will specialize in pants and Jill will specialize in shirts.
C) Joe and Jill each will be able to consume more than 2 shirts and 2 pairs of pants.
D) Both answers B and C are correct.

- 13) Agnes can produce either 1 unit of X or 1 unit of Y in an hour, while Brenda can produce either 2 units of X or 4 units of Y in an hour. There can be gains from exchange 13) _____
 A) only if Agnes becomes faster at producing X.
 B) if Agnes specializes in the production of Y and Brenda specializes in the production of X.
 C) only if Brenda becomes faster at producing X or Y.
 D) if Agnes specializes in the production of X and Brenda specializes in the production of Y.
- 14) To obtain the gains available from comparative advantage, individuals or countries must do more than specialize; they must also 14) _____
 A) engage in research and development. B) invest.
 C) trade. D) save.
- 15) Suppose that a typical German factory can produce 20 cameras or 1 computer in an hour, and that a typical American factory can produce 10 cameras or one computer in an hour. If Germany produces one less computer and switches resources to cameras, and the United States produces one more computer and takes resources out of cameras, then the net change in camera production in both countries taken together is 15) _____
 A) 0. B) plus 10 cameras.
 C) plus 20 cameras. D) minus 10 cameras.
- 16) Because of the existence of comparative advantage, the total output of goods is higher when each producer 16) _____
 A) makes both intermediate and final goods.
 B) produces at the midpoint of its *PPF*.
 C) specializes in the production of one good or a few goods.
 D) produces many different goods.
- 17) Agnes can produce either 1 unit of X or 1 unit of Y in an hour, while Brenda can produce either 2 units of X or 4 units of Y in an hour. 17) _____
 A) Brenda cannot gain from trade.
 B) Brenda has a comparative advantage in the production of X.
 C) Brenda has an absolute advantage in the production of X and Y.
 D) Agnes has a comparative advantage in the production of Y.
- 18) Betty and Ann live on a desert island. With a day's labor, Ann can produce 6 fish or 4 coconuts; Betty can produce 3 fish or 1 coconut. Betty's opportunity cost of producing 1 fish is _____, and she should specialize in the production of _____. 18) _____
 A) 1/3 coconut per fish; fish B) 4 coconuts per fish; fish
 C) 2/3 coconut per fish; coconuts D) 1 coconut per fish; fish
- 19) If income increases or the price of a complement falls, the 19) _____
 A) supply curve of a normal good shifts rightward.
 B) demand curve for a normal good shifts leftward.
 C) demand curve for a normal good shifts rightward.
 D) supply curve of a normal good shifts leftward.

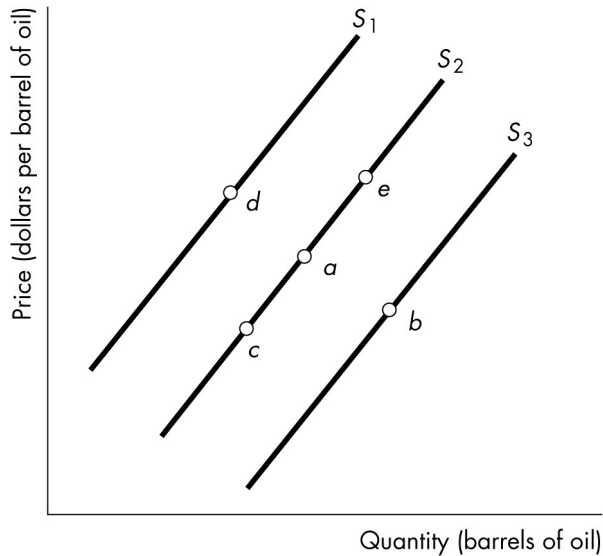


- 23) The figure above shows the demand for fruit snacks. Which movement reflects an increase in demand? 23) _____
- A) from point *a* to point *e* B) from point *a* to point *b*
C) from point *a* to point *c* D) from point *a* to point *d*
- 24) Which of the following statements is CORRECT? 24) _____
- A) A change in demand means a movement along the demand curve.
B) A change in demand and change in quantity demanded means the same thing.
C) A change in the quantity demanded means a shift in the demand curve.
D) A change in demand means a shift in the demand curve while change in the quantity demanded means a movement along the demand curve.
- 25) A change in the price of a good 25) _____
- A) shifts the good's demand curve and also causes a movement along it.
B) does not shift the good's demand curve but does cause a movement along it.
C) neither shifts the good's demand curve nor causes a movement along it.
D) shifts the good's demand curve but does not cause a movement along it.
- 26) Which of the following decreases the demand for an inferior good? 26) _____
- A) an increase in the price of a substitute B) an increase in income
C) a decrease in the price of a complement D) a decrease in income
- 27) The "law of demand" refers to the fact that, all other things remaining the same, when the price of a good rises 27) _____
- A) the demand curve shifts rightward.
B) there is a movement down along the demand curve to a larger quantity demanded.
C) the demand curve shifts leftward.
D) there is a movement up along the demand curve to a smaller quantity demanded.

28) If consumers but not producers expect that the price of soda will rise in November, the

28) _____

- A) supply of soda in October will increase.
- B) supply of soda in October will decrease.
- C) demand for soda in October will increase.
- D) demand for soda in October will decrease.



29) In the figure above, an increase in the quantity of oil supplied but NOT an increase in the supply of oil is shown by a movement from

29) _____

- A) point a to point e .
- B) point a to point b .
- C) point a to point c .
- D) point a to point d .

30) Which of the following shifts the supply curve rightward?

30) _____

- A) a positive change in preferences for the good
- B) a decrease in the price of a factor of production used to produce the good
- C) a decrease in the price of the good
- D) an increase in the population

31) Growers expect that the price of a bushel of wheat will increase in one month. This belief results in

31) _____

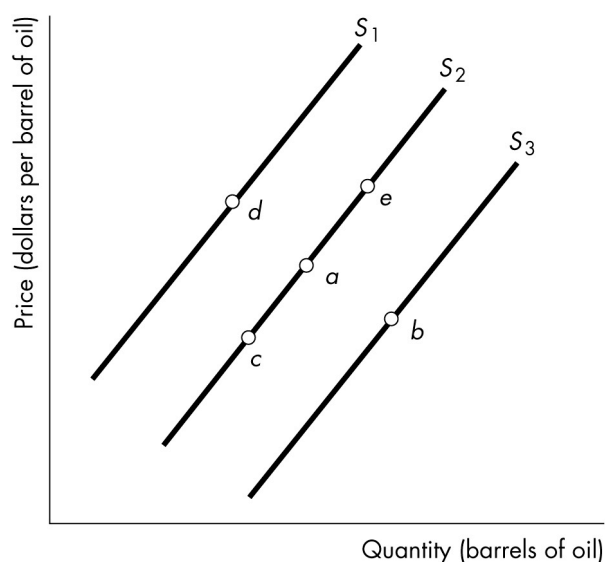
- A) a decrease in current supply of wheat.
- B) no change in current or future supply of wheat.
- C) a decrease in future supply of wheat.
- D) an increase in current supply of wheat.

32) The quantity supplied of a good or service is the amount that

32) _____

- A) is actually bought during a given time period at a given price.
- B) producers plan to sell during a given time period at a given price.
- C) people are willing to buy during a given time period at a given price.
- D) producers wish they could sell at a higher price.

- 33) Which of the following increases the quantity supplied of good X but does NOT increase the supply of good X? 33) _____
- A) an advance in the technology for producing X
 - B) a fall in the price of a factor production used to produce X
 - C) an increase in the price of good Y, a complement in the production of X
 - D) an increase in the price of X
- 34) Which of the following leads to a movement along the supply curve for shredded wheat but does not shift the supply curve for shredded wheat? 34) _____
- A) a fall in the price of shredded wheat
 - B) perfect weather conditions that resulted in a large wheat crop
 - C) an increase in the cost of machinery used to shred wheat
 - D) a decrease in the number of shredded wheat producers



- 35) In the figure above, which movement could be the result of an increase in the wages paid to oil workers? 35) _____
- A) point *a* to point *e*
 - B) point *a* to point *b*
 - C) point *a* to point *c*
 - D) point *a* to point *d*
- 36) Each point on a supply curve represents 36) _____
- A) the lowest price buyers will accept per unit of the good.
 - B) the lowest price for which a supplier can profitably sell another unit.
 - C) the highest price sellers can get for each unit over time.
 - D) the highest price buyers will pay for the good.
- 37) To say that "supply increases" for any reason, means there is a 37) _____
- A) shift rightward in the supply curve.
 - B) shift leftward in the supply curve.
 - C) movement rightward along a supply curve.
 - D) movement leftward along a supply curve.

- 38) Good A and good B are substitutes in production. The demand for good A increases so that the price of good A rises. The increase in the price of good A shifts the _____
- A) demand curve for good B leftward. B) supply curve of good B leftward.
C) demand curve for good B rightward. D) supply curve of good B rightward.

- 39) The equilibrium price is the price at which the quantity _____
- A) demanded equals the quantity supplied.
B) sold equals the quantity bought.
C) supplied equals the quantity bought.
D) demanded equals the quantity sold.

- 40) When there is a shortage in the market, the quantity sold is _____
- A) greater than the quantity supplied. B) less than the quantity bought.
C) equal to the quantity supplied. D) less than the quantity supplied.

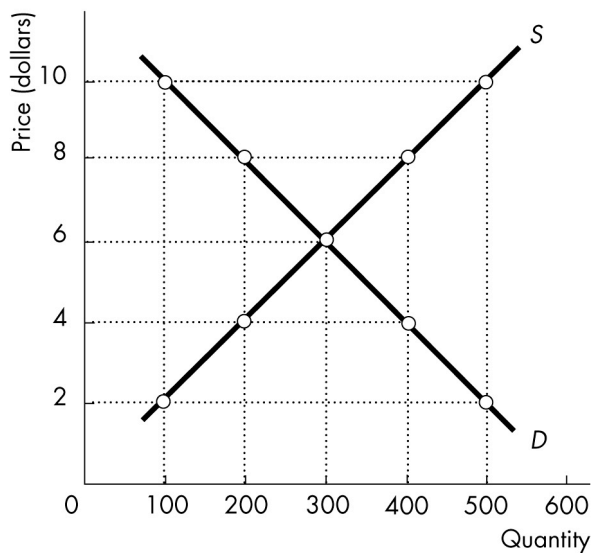
- 41) A shortage causes the _____
- A) price to fall. B) price to rise.
C) demand curve to shift leftward. D) supply curve to shift rightward.

Price (dollars per cellular phone)	Quantity demanded (thousands)	Quantity supplied (thousands)
100	50	100
80	55	80
50	60	60
20	100	40

- 42) Using the data in the above table, at the price of \$80 a phone, a _____
- A) surplus of 80 thousand cellular telephones occurs.
B) shortage of 25 thousand cellular telephones occurs.
C) shortage of 55 thousand cellular telephones occurs.
D) surplus of 25 thousand cellular telephones occurs.

- 43) Which of the following is the best way to describe equilibrium in a market? At equilibrium, the _____
- A) price is the lowest possible.
B) quantity supplied equals the quantity demanded.
C) price is usually affordable to most people.
D) supply and demand curves can never shift again.

- 44) If the market for Twinkies is in equilibrium, then _____
- A) the quantity supplied equals the quantity demanded.
B) consumers would like to buy more at the current price.
C) Twinkies must be a normal good.
D) producers would like to sell more at the current price.



- 45) The equilibrium quantity in the above figure is _____
 A) 200 units. B) 600 units. C) 400 units. D) 300 units.
- 46) If there exists a shortage in the market for snowmobiles, then the price of a snowmobile will _____
 A) rise. B) fall.
 C) neither rise nor fall. D) at first fall then rise.
- 47) The existence of a shortage _____
 A) pushes the price up.
 B) means resources are being allocated efficiently.
 C) pushes the price down.
 D) is impossible in a market economy.
- 48) When the price of a good is _____
 A) above the equilibrium price, quantity demanded exceeds quantity supplied and price rises.
 B) above the equilibrium price, quantity supplied exceeds quantity demanded and price falls.
 C) below the equilibrium price, quantity supplied exceeds quantity demanded and price rises.
 D) below the equilibrium price, quantity demanded exceeds quantity supplied and price falls.

Answer Key

Testname: SAMPLE_TEST1

- 1) C
- 2) C
- 3) D
- 4) C
- 5) C
- 6) A
- 7) A
- 8) B
- 9) B
- 10) B
- 11) B
- 12) D
- 13) D
- 14) C
- 15) B
- 16) C
- 17) C
- 18) A
- 19) C
- 20) D
- 21) D
- 22) C
- 23) D
- 24) D
- 25) B
- 26) B
- 27) D
- 28) C
- 29) A
- 30) B
- 31) A
- 32) B
- 33) D
- 34) A
- 35) D
- 36) B
- 37) A
- 38) B
- 39) A
- 40) C
- 41) B
- 42) D
- 43) B
- 44) A
- 45) D
- 46) A
- 47) A
- 48) B